



United States
Attorney's Office
Western District of Tennessee



Three West Tennessee Residents Charged in Connection with Over \$28 Million in Alleged Health Care Fraud

Monday, June 30, 2025

For Immediate Release

U.S. Attorney's Office, Western District of Tennessee

Part of the Largest Justice Department Health Care Fraud Takedown in History

Memphis, TN – Today, Interim United States Attorney Joseph C. Murphy, Jr. announced criminal charges against three defendants in connection with an alleged scheme to defraud the Federal Employees' Compensation Fund (FECA). The charges filed in federal court are part of the Department of Justice's 2025 National Health Care Fraud Takedown. The charges stem from a West Tennessee pharmacy which fraudulently billed FECA for medications that were not based on valid prescriptions and were not dispensed to the injured claimants.

"This record-setting Health Care Fraud Takedown delivers justice to criminal actors who prey upon our most vulnerable citizens and steal from hardworking American taxpayers," said Attorney General Pamela Bondi. "Make no mistake – this administration will not tolerate criminals who line their pockets with taxpayer dollars while endangering the health and safety of our communities."

The charges announced today by Interim United States Attorney Murphy are part of a strategically coordinated, nationwide law enforcement action that resulted in criminal charges against 324 defendants for their alleged participation in health care fraud and illegal drug diversion schemes that involved the submission of over \$14.6 billion in alleged false billings and over 15 million pills of illegally diverted controlled substances. The defendants allegedly defrauded programs entrusted for the care of the elderly and disabled to line their own pockets, and the Government, in connection with the Takedown, seized over \$245 million in cash, luxury vehicles, and other assets.

The following individuals were charged in the Western District of Tennessee:

Kossie Lamon Simmons, 59, and **Katina Marzie Simmons, 48**, of Collierville, Tennessee, and **Tritia Margalizita Townsend, 47**, of Memphis, Tennessee, were charged by indictment with conspiracy to commit health care fraud and wire fraud and health care fraud in connection with their scheme to defraud the FECA by billing for medications purportedly to be dispensed to injured United States Postal Service claimants, which were not based on a valid prescription and were not in fact carried in stock by the pharmacy or dispensed to the claimants. In total, the pharmacy, SarJo Pharmacy, Inc. ("SarJo"), fraudulently billed FECA approximately \$28,738,532.90 and was paid approximately \$16,262,445.70.

As alleged in the indictment, Kossie Simmons was a beneficial owner and submitted claims for prescription medications purportedly dispensed. Katina Simmons was the listed 70% owner of the entities involved and managed the entities, and Tritia Townsend was the pharmacist in charge of SarJo.

The Health Care Fraud Unit's National Rapid Response, Florida, Gulf Coast, Los Angeles, Midwest, New England, Northeast, and Texas Strike Forces; U.S. Attorneys' Offices for the District of Arizona, Central District of California, Northern District of California, Southern District of California, District of Columbia, District of Connecticut, District of Delaware, Middle, District of Florida, Northern District of Florida, Southern District of Florida, Middle, District of Georgia, District of Idaho, Northern District of Illinois, Eastern District of Kentucky, Western District of Kentucky, Eastern District of Louisiana, Middle District of Louisiana, District of Maine, District of Massachusetts, Eastern District of Michigan, Northern District of Mississippi, Southern District of Mississippi, District of Montana, District of Nevada, District of New Hampshire, District of New Jersey, Eastern District of New York, Northern District of New York, Southern District of New York, Western District of New York, Eastern District of North Carolina, Western District of North Carolina, District of North Dakota, Northern District of Ohio, Southern District of Ohio, Northern District of Oklahoma, Western District of Oklahoma, District of Oregon, Eastern District of Pennsylvania, District of South Carolina, Middle District of Tennessee, Western District of Tennessee, Northern District of Texas, Southern District of Texas, Western District of Texas, District of Vermont, Eastern District of Virginia, Western District of Washington, and Northern District of West Virginia; and State Attorney Generals' Offices for Arizona, California, Georgia, Illinois, Indiana, Louisiana, Massachusetts, Missouri, New York, Ohio, and Pennsylvania are prosecuting the cases in the National Health Care Fraud Takedown, with assistance from the Health Care Fraud Unit's Data Analytics Team.

Descriptions of each case involved in today's enforcement action are available at the Department's website: <https://www.justice.gov/criminal/criminal-fraud/2025-national-health-care-fraud-takedown>.

The Western District of Tennessee, in particular, worked with the Department's Criminal Division, the United States Postal Service – Office of the Inspector General, and the Department of Labor – Office of Inspector General to investigate and prosecute the cases filed during the enforcement period.

The case is being prosecuted by Trial Attorney Sara Porter of the Gulf Coast Health Care Fraud Strike Force and Assistant United States Attorney Raney Irwin of the U.S. Attorney's Office for the Western District of Tennessee.

A complaint, information, or indictment is merely an allegation. All defendants are presumed innocent until proven guilty beyond a reasonable doubt in a court of law.

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For more information regarding this case, please contact the Media Relations Team at USATNW.Media@usdoj.gov. Follow the U.S. Attorney's Office [on Facebook](#) or [on X](#) at @WDTNNews for office news and updates.

Updated June 30, 2025

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